

Six depots do the work of nine.

Three of them have run below 40% utilisation for six quarters, and Oakmont's lease renews in March at a 12% step-up.

Draft — for discussion

Confidential

Built on the FY25 depot P&L, the route model v3 and operator interviews from Aug 2026. All figures fictional.

EXECUTIVE SUMMARY

Consolidating three depots saves \$4.1M a year for a one-time cost of \$2.6M, with next-day coverage held for 99.2% of customers.

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- 1 Three depots carry \$5.2M of fixed cost for 14% of network volume.
- 2 Their volume fits inside Easton and Fairmont with 18% headroom, and next-day coverage holds for 99.2% of customers.
- 3 The saving is \$4.1M a year net, for a one-time cost of \$2.6M, with payback inside eight months.



DECISION NEEDED

Three approvals to start in November.



BIGGEST RISK

Union consultation at Ridgeway extends beyond four months

Three depots have run below 45% utilisation for six quarters.

Dock hours used over dock hours available, by quarter.

	Q1 25	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26
Easton	68	70	72	74	71	73
Fairmont	61	64	66	68	66	67
Carlton	55	54	58	57	56	59
Ridgeway	44	41	38	36	34	35
Brookline	43	42	40	39	37	38
Oakmont	45	44	42	40	39	39

Three depots carry \$5.2M of fixed cost for 14% of network volume.

Source: Halvard operations data FY25–26 (fictional)

WHY UTILISATION FELL

Three separate changes emptied the same three depots.

None of the three was a mistake; together they left the network one size too big.

Carver contract ended (2024)

Ridgeway lost its anchor customer.

Easton expansion (2023)

Added dock capacity 41 miles from Brookline.

Parcel mix shift

Smaller consignments consolidate better at larger sites.

RESULT

Three depots below 40%

\$5.2M of lease and labour carrying 14% of network volume.

Source: Halvard volume history 2022–25 (fictional)

Easton and Fairmont score highest on every criterion but one.

Scored by the route model and site visits; full = strongest on that criterion.

	Spare capacity	Drive time	Labour market	Lease term	Access
Easton					
Fairmont					
Carlton					
Westbrook					

Full = strongest on that criterion; empty = weakest.

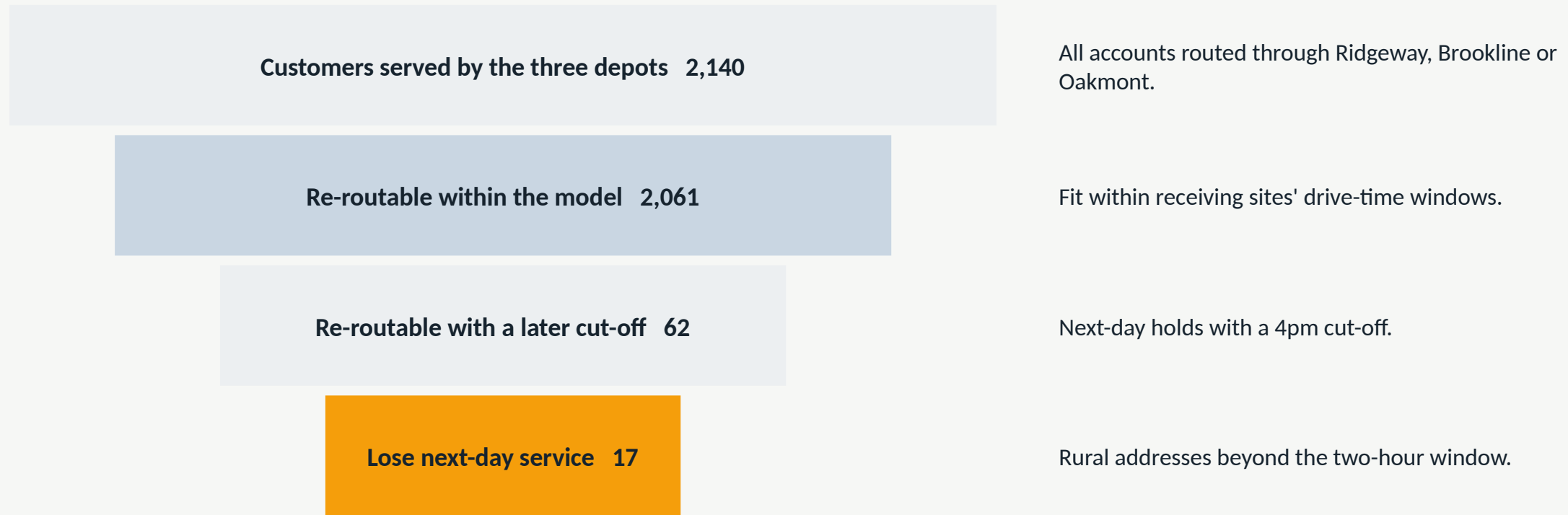
Their volume fits inside Easton and Fairmont with 18% headroom, and next-day coverage holds for 99.2% of customers.

Source: Site assessment, Aug 2026 (fictional)

CUSTOMER IMPACT

Of 2,140 customers, 17 would lose next-day service.

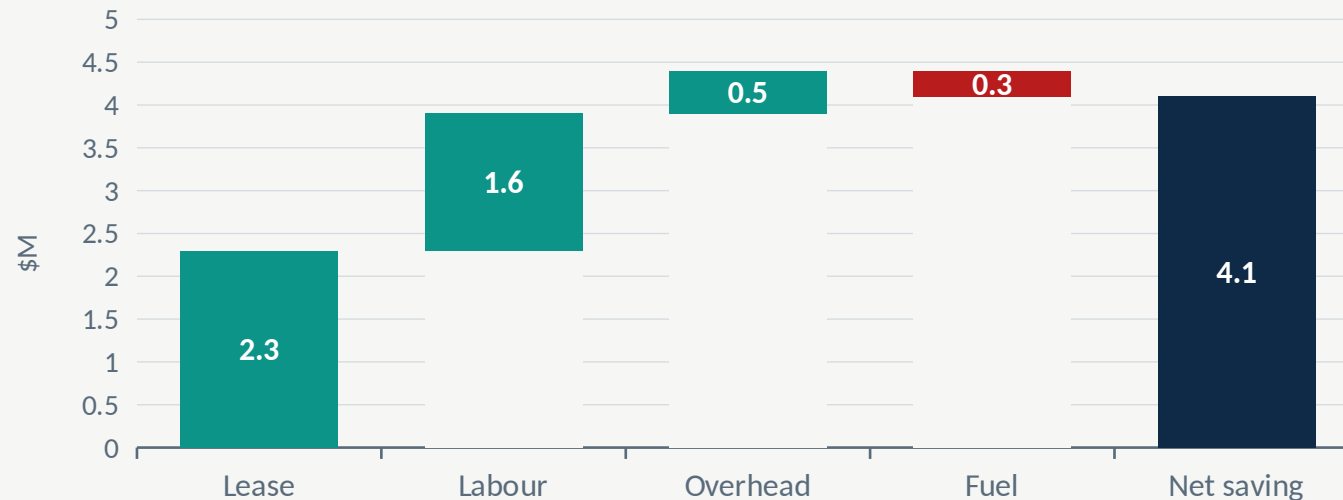
Route model v3, current order book, receiving sites' drive-time windows.



Source: Route model v3 (fictional)

Gross saving of \$4.4M nets to \$4.1M after fuel.

Annual run-rate after transition, \$M.



WHAT IS NOT IN THE BRIDGE

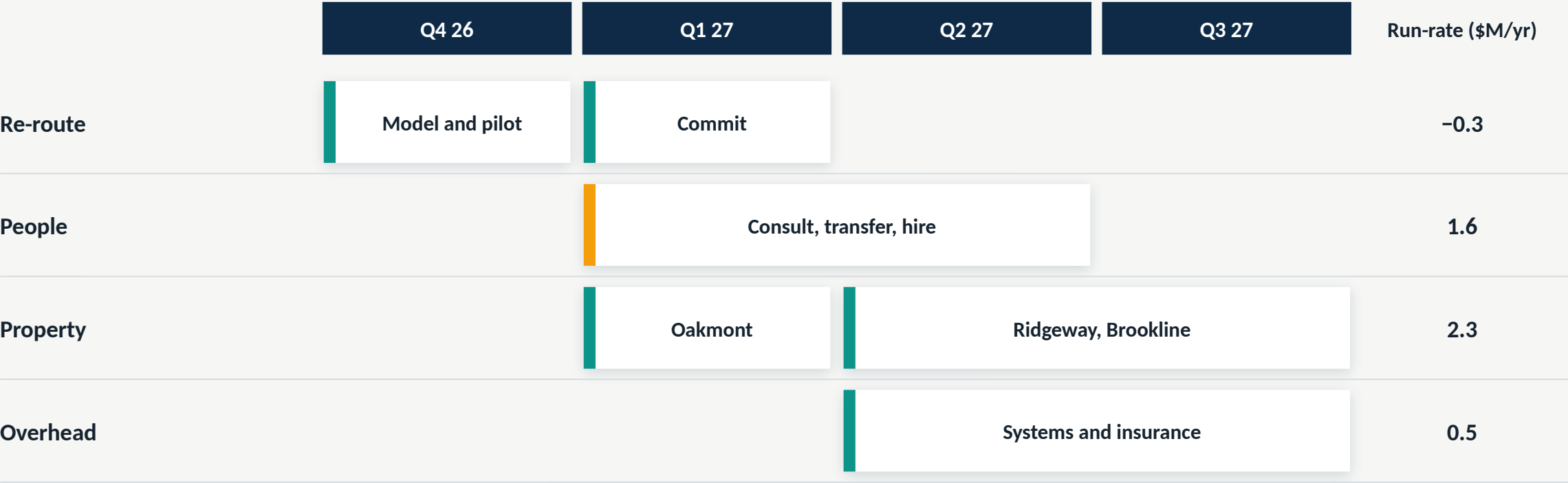
One-time costs

- \$2.6M transition cost
- Payback inside eight months
- Lease exit penalties included

The saving is \$4.1M a year net, for a one-time cost of \$2.6M, with payback inside eight months.

Savings start in month four and reach run-rate in month ten.

Routes move before people; people move before buildings close.



Source: Transition model v3 (fictional)

3 risks, each with an owner and a mitigation.

Risk	Impact	Owner	Mitigation
Union consultation at Ridgeway extends beyond four months	High	HR director	Start informal engagement now; sequence Oakmont and Brookline first so savings begin regardless.
Easton peak-week capacity is tighter than modelled	Medium	Ops director	Pilot a peak week in December before committing; Fairmont takes overflow.
Brookline sublet market softens	Low	Property	Exit penalty is already in the \$2.6M; sublet is upside only.

THE DECISION

Three approvals to start in November.

DECISION

Approve the plan

Close Ridgeway, Brookline and Oakmont;
Easton and Fairmont receive.

BUDGET

\$2.6M transition

Released in three tranches, one per phase.

MANDATE

Start union engagement

Informal engagement at Ridgeway from
Nov 1.

Approve these three and the first saving lands in month four.



BACKUP

Supporting detail.

THE THREE SITES

Oakmont is the cheapest to exit and the first to go.

Depot	Utilisation	Annual cost (\$M)	Exit cost (\$M)	Lease end
Ridgeway	34%	2.1	1.4	2027 break
Brookline	37%	1.8	0.9	2029
Oakmont	39%	1.3	0.3	Mar 2027

Source: Halvard depot P&L FY25; property schedule (fictional)